GLOBAL INTELLIGENCE

Daily Intelligence Report

Monday 02 November 2026 · 13:54 Italy time

321 news items scanned · 0 web lookups

At a Glance

- **Iran offers to reopen Hormuz, and oil and gas fall:** Tehran says it could reopen the Strait within two days if Washington accepts its demands. That is a statement of willingness, not a reopening, and the closure continues. Brent fell more than 3% to about $109 and Dutch TTF gas fell below €100/MWh. The war is in its ninth month, and ship attacks go on.
- **US midterms on Tuesday 3 November:** All 435 House seats and about a third of the Senate are up. Polls cited by Bloomberg favour the Democrats. The administration has pre-positioned legal challenges, and Trump floated pardons for Musk and aides. European diplomats fear troop or NATO

funding cuts after a loss. That is a fear, not a decision.

- **ECB tilts towards more hikes:** It held the deposit rate at 2.50% on 29 October, after a September hike. Governing Council member Kazimir says markets may underestimate the tightening needed. September inflation was 3.8%, and the October flash estimate is due Wednesday. Lagarde is reported to be leaving on 7 February 2027.
- **Italy's 2027 budget goes to the Chamber:** It is the last budget before the 2027 election. It depends on Brussels accepting a €29bn deficit deviation over 2027-28. The BTP-Bund spread eased to about 116 basis points.
- **Record crypto theft at Binance:** The FBI blames North Korea's TraderTraitor group for more than $6.3bn stolen. Net outflows reached $4.7bn. Binance says it will cover 90% of losses.
- **Russia-Ukraine talks in Abu Dhabi:** US, Ukrainian and Russian negotiators are expected to meet on 6-10 November. Moscow says restoring gas transit through Ukraine is "not possible"

now. Strikes on energy sites continue on both sides.

- **Supermarket freezer hacks spread:** Suspected cyberattacks pushed freezer temperatures up to 50C in six European countries. France was hit weeks ago. Nobody has been blamed.
- **AI funding strain:** The Nasdaq 100 fell 3.46% on Friday. Marvell agreed a $115bn all-stock deal for Lumentum. Oracle and Alphabet are selling bonds, and Alphabet is paying higher yields than in May.
- **France under stress:** Protests entered a third weekend, and Alstom fell 28% on a second profit warning. ECB board member Makhlouf ruled out ECB support for French debt.
- **China's export engine stumbles:** October factory data showed weak exporters, which raises the pressure for stimulus. Chinese chemical output has almost doubled in five years, opening a possible new trade front with Europe.

Contents

What It Means for You in Italy 5

Markets Dashboard 7

I. Europe & Italy

Italy 10

European Union 13

Italy in the EU & PNRR 15

Across Europe 16

II. Great Powers

United States 19

China 21

Russia & Ukraine 23

III. World Regions

Middle East & Gulf 26

Indo-Pacific 28

BRICS+ & Global South 30

Africa 31

Latin America 32

IV. Security, Technology & Space

Defence & Security 34

Cyber & Information Warfare 37

Fact Check 39

Technology & AI 40
Space 43

V. Economy, Markets & Energy

Global Economy & Central Banks 45
Markets & Finance 47
Trade, Tariffs & Sanctions 49
Energy & Critical Minerals 51

VI. Outlook

Market Implications 53
Market Opportunities & Risks 55
Scenarios 57
What to Watch 59
Explained 60
Glossary 62

What It Means for You in Italy

- **Fuel and energy bills:** Gas under €100/MWh and Brent near $109 give slight relief. Prices are still very high, and a Hormuz reopening is unconfirmed. Any pass-through to bills would take weeks and is uncertain.
- **Mortgages:** The ECB is leaning towards another hike, and money markets price a December move as likely. Variable-rate

mortgage payments could rise from early 2027. The next ECB meeting is 17 December.

- **Inflation and spending:** Euro-area inflation was 3.8% in September. The October flash estimate on 4 November will show whether it is still rising. Confesercenti-Ipsos finds that over 9 in 10 Italians are cutting spending, and it puts €1.4bn of consumption at risk this quarter.
- **Savings and BTPs:** The BTP-Bund spread is about 116 basis points, which is calm. Higher rates mean better new-issue yields but lower prices for existing bonds.
- **Public-sector workers:** The budget phases out the nine-month wait for severance pay (TFS). The wait shrinks by three months a year and ends in 2030. The bill is not yet law.
- **Taxes:** The bill includes a 33% income-tax bracket up to €55,000. Parliament must pass it by 31 December, and amendments are possible.
- **Travel:** Ryanair warns of higher fares and pay freezes if fuel costs stay high. Its fares are currently down 4%.
- **Crypto holders:** If you keep assets on exchanges, the Binance theft shows the operational risk.

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,124.83	-0.11%	+0.14%
FTSE MIB (Italy)	49,539.17	+0.08%	+0.72%
DAX (Germany)	25,782.02	-0.14%	+1.46%
CAC 40 (France)	7,971.07	+0.02%	+1.58%
IBEX 35 (Spain)	18,732.80	+0.43%	-1.58%
FTSE 100 (UK)	10,708.45	-0.20%	-0.55%

Americas	Last	Day	Week
S&P 500	7,580.07	-1.82%	-0.57%
Nasdaq 100	28,384.85	-3.46%	-1.98%
VIX (US volatility)	19.39	-0.15%	+5.44%
Bovespa (Brazil)	167,922.00	-0.75%	-18.12%

Asia	Last	Day	Week
Nikkei 225 (Japan)	63,081.86	-0.33%	+1.43%
CSI 300 (China)	4,016.92	–	–
Hang Seng (Hong Kong)	23,393.32	+0.42%	+0.78%
KOSPI (South Korea)	5,859.08	+2.24%	+7.12%
Taiex (Taiwan)	44,920.14	-0.65%	-2.44%
Nifty 50 (India)	23,440.80	+1.68%	+3.02%

Rates	Last	Day	Week
US 10Y yield (%)	4.9290	-1.20%	-1.18%
US 2Y yield (%)	4.5730	-3.73%	-3.73%

Currencies	Last	Day	Week
EUR/USD	1.1221	+0.34%	+0.03%
EUR/GBP	0.8357	-0.02%	-0.33%
EUR/CHF	0.9187	-0.24%	-0.58%
EUR/CNY	7.4318	-0.22%	-0.79%
US Dollar Index (DXY)	101.59	-0.28%	-0.36%
USD/JPY	157.84	+0.02%	+0.65%
USD/CNH	6.6451	–	–
USD/RUB	80.89	-0.43%	+0.82%
USD/INR	94.90	-0.27%	-0.04%
USD/BRL	5.4370	+0.97%	+9.61%
USD/TRY	49.96	+0.04%	+0.45%
Bitcoin ($)	77,643.55	-0.77%	-4.46%

Commodities	Last	Day	Week
Brent ($/bbl)	108.88	-7.45%	-5.98%
WTI ($/bbl)	99.71	-4.24%	-2.01%
Dutch TTF gas (EUR/MWh)	98.88	-4.88%	+2.27%
Gold ($/oz)	3,910.80	+0.31%	-3.16%

Commodities	Last	Day	Week
Silver ($/oz)	50.15	+2.13%	-7.32%
Copper ($/lb)	6.5140	+0.86%	+0.09%
Wheat (c/bu)	606.25	+0.46%	-1.58%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

I Europe & Italy

Italy

Parliament's budget session opens this week. Italian markets opened the month calmer: Milan's FTSE MIB was up about 0.5% in the afternoon, and the BTP-Bund spread (the extra yield Italy pays over Germany) fell to about 116 basis points, from just under 118 at the open (ANSA).

Budget bill reaches the Chamber as the fiscal fight with Brussels looms

The government approved the 2027 budget bill on 28 October. It is expected in the Chamber of Deputies on Tuesday, with three rapporteurs and €120 million set aside for amendments. Hearings start in about a week, and final approval is due by 31 December. Reported sizes differ: Meloni spoke of a €26 billion package, while another account says €23.4 billion, of which €14.4 billion rests on extra deficit allowed for energy and defence. The bill includes a 33% income-tax bracket up to €55,000. Parliament has also approved a deficit-deviation resolution worth €29 billion over

2027-28, by 219 votes to 110. Economy Minister Giorgetti says he will negotiate that room with the European Commission.

Why it matters: This is the last budget before the 2027 general election. Much of it depends on the Commission accepting the extra deficit.

Market impact: The spread is the main gauge of investor confidence in Italy's debt. It is lower today, but the budget's deficit path will test it.

Watch: The Chamber's budget committee work and the hearings from about 9 November.

Sources: Euronews, ANSA, ANSA

Budget measures on public-sector pay and the cost of living

Il Sole 24 Ore reports that the bill phases out the nine-month wait for public employees' severance pay (TFS). The wait shrinks by three months a year and disappears in 2030. A separate rule in the bill caps the automatic pay rises of magistrates by reintroducing a weighted-average criterion. A Confesercenti-Ipsos poll finds that more than 9 in 10 Italians are cutting spending (53% on restaurants, 41% on holidays). Confesercenti estimates €1.4 billion of consumption is at risk this quarter.

Sources: Il Sole 24 Ore, Il Sole 24 Ore, ANSA

Opposition: aligned on welfare, split on Ukraine

ANSA's review of the centre-left programmes finds agreement on schools, healthcare and defending wages. The parties remain apart on Ukraine and on the citizenship income (RdC), the abolished anti-poverty benefit.

Source: ANSA

Space and energy

At the Space Economy summit at the Farnesina, Foreign Minister Tajani announced a new private mission for an Italian astronaut. He put the sector's turnover above €21 billion. Confindustria plans a space mission to the US in December. In energy, Dutch TTF gas fell below €100/MWh (from €101.45 early in the day) after Iran said it was ready to reopen Hormuz within two days (ANSA). Cheaper gas helps Italian industry and bills.

Sources: Il Sole 24 Ore, ANSA

European Union

ECB under pressure over energy-driven inflation, with Lagarde leaving

The European Central Bank (ECB) held its deposit rate at 2.50% on 29 October, after raising rates by 25 basis points in September. Reports that day said Christine Lagarde will leave early, on 7 February 2027, rather than at the end of her term in October 2027. Today Governing Council member Peter Kazimir said markets may be underestimating the tightening needed, since the energy shock shows no sign of fading and inflation is picking up again (Bloomberg). September flash inflation was 3.8%. The October flash estimate is due Wednesday.

Why it matters: The ECB is raising rates into an energy shock, and its leadership will change in the middle of it.

For Europe & Italy: Higher rates raise the cost of servicing Italy's debt and of mortgages. Most Italian mortgages are variable-rate.

Market impact: Money markets already price a December hike as likely, per reports citing LSEG data.

Watch: The 4 November inflation flash and the December ECB meeting.

Sources: Bloomberg, XTB

ECB rules out shoring up French debt

Irish central-bank governor Gabriel Makhlouf said French politicians must "get on and fix" their public finances. He ruled out immediate ECB intervention to support French debt.

Source: Bloomberg

EU-Canada summit launches "associate membership"

After the Montreal summit, Prime Minister Mark Carney gave the EU six months to define what "associate membership" would mean. Politico says the 27 governments must now agree on substance. The FT says the ambitions are large but the content is thin so far.

Sources: Politico Europe, FT

Supermarket freezers hit by suspected cyberattack

Freezers in shops in six European countries, including Belgium, Ireland, Sweden and Finland, reportedly rose to as high as 50C today. This follows a similar incident in France weeks ago. No attribution has been made.

Sources: BBC, Bloomberg

Italy in the EU & PNRR

Italy's main Brussels task is to win Commission acceptance of the €29 billion deficit-deviation margin for 2027-28. Giorgetti has said he will negotiate it. The Commission has not yet commented in today's feed. Italy also sits in the Council that will have to define the EU-Canada partnership. Italian banks and exporters have an interest in both, but no Italian position emerged today.

PNRR tracker

The PNRR is the EU-funded national recovery plan. Minister Raffaele Foti said on 23 September that all 576 targets had been met. Italy's request for the tenth and last instalment, €28.4 billion, was due by 30 September. I found no confirmation today of the Commission's assessment. Sources differ on the count of milestones in that instalment. The ninth instalment, €12.8 billion, was received in early June.

Item	Status	Next step
9th instalment (€12.8bn)	Received, June 2026	None

Item	Status	Next step
10th and last instalment (€28.4bn)	Requested; Commission review not confirmed	Commission and Council assessment, then payment
Final deadline	Payments by 31 December 2026; no extension	Complete all spending and reporting

Watch: The Commission's preliminary assessment of the tenth instalment.

Sources: Teleborsa, Agenzia Nova, Milano Finanza

Across Europe

France

Students and others protested in French cities for the third weekend running, with hundreds of arrests. Prosecutors opened an attempted-murder investigation after a petrol bomb was thrown at police (BBC). Prime Minister Sébastien Lecornu plans to meet high-school students again next week as they call for more protests and school blockades (Bloomberg). Industrial group Alstom fell 28% after cutting its profit forecast for the second time under new chief Martin Sion. It plans to cut €2 billion of debt (FT). The ECB's Makhlouf warned that France must fix its public finances.

Sources: BBC, Bloomberg, FT

Germany

BBC reports that largely orderly demonstrations on Sunday turned violent in Frankfurt, Berlin, Cologne and Hamburg, with looting. I could not verify the cause or the number of arrests. In Berlin, the SPD is pressing Economy Minister Katherina Reiche to speed up a fuel-price cap, and former Chancellor Angela Merkel is to take part in electing the federal president (Handelsblatt).

Sources: BBC, Handelsblatt

Bulgaria

Per the FT, interim president Iliana Yotova was re-elected in final results of the 1 November runoff, which strengthens a Kremlin-friendly line. In the first round she led Andrey Gyurov, a pro-Ukraine former caretaker prime minister, by 34.8% to 32%, on record-low turnout.

Sources: FT, SCMP

Poland

In eastern Poland, residents now hear warning sirens and receive text alerts about Russian air incursions, the FT reports.

Source: FT

United Kingdom

The state-backed British International Investment plans to deploy about £2.25 billion in Africa's riskiest markets over five years (Bloomberg). Separately, Ryanair's half-year profit fell 15% to €2.15 billion, with fares down 4% and traffic up 6% (ANSA).

Sources: Bloomberg, ANSA

II Great Powers

United States

The US votes on Tuesday 3 November in midterm elections: all 435 House seats and about a third of the Senate are up. Trump's final-week strategy is rallies to turn out his base. Bloomberg reports NYT/Siena polls that show Democrats in a strong position.

Trump's DOJ sues over voting; fears of post-election fights grow

A federal judge dismissed a Justice Department lawsuit in Alaska. Two candidates named Sullivan are on the ballot, and Washington had argued that votes for the namesake could hurt Republican Senator Dan Sullivan. The DOJ is appealing. Bloomberg says the administration has "laid the groundwork" to challenge results, and that early cases in Alaska and California preview a wider legal fight. Separately, Trump said he would offer protective pardons to Elon Musk and close aides if Democrats win Congress. Handelsblatt reports Musk has given more than $440 million to Republicans this cycle, a record.

Why it matters: A Democratic House would gain subpoena and investigation powers over the administration. That explains the pardon talk and the legal pre-positioning.

For Europe & Italy: Politico Europe reports diplomats fear that, after a loss, Trump could move thousands more troops out of Europe or cut NATO funding to cement his legacy. That is a concern voiced by diplomats, not a decision.

Watch: Results overnight on 3–4 November, and whether the DOJ or Democrats file new suits.

Sources: Handelsblatt, Bloomberg, Politico Europe

Oil eases on Iran diplomacy report; Fed hike talk and Treasury overhaul loom

Brent fell more than 3% to below $110 a barrel after a report that Trump wants to give diplomacy with Iran more time. Hormuz disruption from the US-Israel war with Iran has pushed fuel costs sharply higher. Neil Dutta of Renaissance Macro expects 4 or 5 Fed rate hikes in total. Wall Street also expects the biggest change in Treasury issuance guidance since early 2024, after Treasury Secretary Scott Bessent showed willingness to intervene to push down yields.

Market impact: Nasdaq just had its worst month in over a year, but US tech futures pointed higher on lower oil. FT notes the S&P 500 has risen in the six months after every midterm since 1950. The DAX was flat near 26,000.

Watch: Treasury refunding guidance this week, and the Iran talks.

Sources: Bloomberg, Bloomberg, FT

China

Beijing is leaning on exports while domestic demand stays weak, and the first fourth-quarter data show that pillar wobbling.

Exports falter at the start of Q4

Bloomberg reports that China's economy started the fourth quarter poorly, with exporters showing unexpectedly weak results. Factory activity still expanded, but the streak of faster growth ended. I could not verify the exact PMI (purchasing managers' index) figures today. Fred Hu of Primavera Capital argues policymakers have room for "much bolder" steps and should focus on fundamentals, not short-term volatility.

Why it matters: Exports have been the main prop for growth while property and consumption lag. A weakening export engine raises pressure for more stimulus.

For Europe & Italy: FT reports Chinese output of some key chemical ingredients has almost doubled in five years, opening a possible new trade-dispute front with foreign producers. European chemical makers, including Italian ones, face that pressure. Handelsblatt warns German carmakers not to repeat their "China mistake" in the US.

Watch: Chinese trade data for October, due this week, and any stimulus signals.

Sources: Bloomberg, Bloomberg, FT

Xi courts Oman on Hormuz and tells Europe there is no Ukraine trilateral

Xi Jinping hosted Oman's sultan on an unprecedented visit. Bloomberg says Xi offered help on Middle East problems and on safe passage through the Strait of Hormuz. Oman has long mediated between Washington and Tehran. German President Steinmeier said Xi told him there are no preparations for US-Russia-China talks on Ukraine, per Handelsblatt's live blog.

Why it matters: China imports large volumes of Gulf oil, so Hormuz disruption hurts it directly. Beijing wants to appear a mediator without taking on the risks of one.

Market impact: Hong Kong regulators are scrutinising chip IPO structures with cross-investments among linked investors, per Bloomberg.

Watch: Any Chinese role in Iran talks. There was no new Taiwan or export-control news in today's feed.

Sources: Bloomberg, Handelsblatt, Bloomberg

Russia & Ukraine

Moscow and Kyiv keep hitting each other's energy infrastructure as winter nears. Diplomacy continues in parallel.

Talks planned in Abu Dhabi; gas transit "not possible" for now

Zelensky says US-Ukraine-Russia negotiators are expected to meet in Abu Dhabi on 6–10 November. Kremlin spokesman Dmitry Peskov said resuming Russian gas exports to Europe via Ukraine is currently not feasible. He expects Trump to keep pursuing a settlement after the midterms. The Wall Street Journal reported the

US wants gas transit restored before winter as part of a deal to halt energy strikes. Zelensky said he is ready to meet Putin in Turkey, while Putin offers Moscow. A six-day local truce in occupied Oleshky expired on 1 November. Kyiv says Russia used it to rotate troops, and the Kremlin rules out similar pauses for now.

For Europe & Italy: Gas via Ukraine ended on 1 January 2025. Any restart would be politically explosive in the EU, which is phasing out Russian gas. FT describes three camps in the West on how to deal with Russia.

Watch: Whether the Abu Dhabi round happens, and Black Sea ceasefire talks, which Rubio says are gaining interest.

Sources: Handelsblatt, FT

Energy war and cyberattacks on alert apps

Zelensky said Russian strikes left about 280,000 households without power in the Kyiv and Dnipropetrovsk regions. Moscow reported "significant damage" to an industrial site in Nizhny Novgorod. Satellite data showed a fire at a pumping station in Samara. Ukraine's air-alert app was hacked, with fake radiation and chemical alerts in Kyiv. Russia's emergency app got fake alerts too. A group called "Hitcore" claimed it, which is unverified.

Why it matters: Bloomberg Economics says the strikes deepen Ukraine's dependence on foreign aid. Bloomberg also reports Russia's Defense Ministry plans to shift December salaries into January for the first time, as the deficit widens.

Watch: In Poland, FT reports sirens and text alerts from Russian air incursions are becoming routine.

Sources: Politico Europe, Bloomberg, Bloomberg, Bloomberg, FT

III World Regions

Middle East & Gulf

The Iran war is in its ninth month. Diplomacy and shipping attacks are running in parallel, and energy prices are moving on each headline.

Iran signals it could reopen Hormuz; oil and gas retreat

Iran's foreign ministry spokesman Esmail Baghaei said Tehran is willing to reopen the Strait of Hormuz within two days. He added that messages are passing between mediators, according to ANSA. This is a statement of willingness, not a confirmed reopening. Bloomberg reports that Trump wants to give diplomacy more time. Brent fell more than 3% to below $110 a barrel, and the Dutch TTF gas benchmark dropped 4.9% to €98.88/MWh, its first print under €100 since 30 October. Qatar-mediated talks in Doha are reported to be in their third day.

Attacks continue meanwhile. Handelsblatt's live blog reports a tanker hit by two projectiles about 72 nautical miles off Saudi Arabia. The

Revolutionary Guard says two tankers exploded after hitting mines on an "unauthorized route". Reuters could not verify that claim.

Why it matters: Hormuz carries a large share of the world's oil and LNG, so the war sets prices well beyond the Gulf.

For Europe & Italy: Gas near €100/MWh feeds Italian industrial and power costs. Ryanair warned of pay freezes and higher fares if fuel costs stay high.

Watch: Whether Hormuz traffic actually resumes. US strikes are also reported as possible after the US midterms on 3 November.

Sources: ANSA, Bloomberg, Handelsblatt

Xi hosts Oman's sultan; Gulf fears Iranian retaliation

Xi Jinping offered to help with Middle East problems and safe passage through Hormuz during an unprecedented visit by Oman's sultan, Bloomberg reports. Oman is Iran's main channel on shipping. Bloomberg also reports that Gulf states fear fiercer Iranian retaliation if the US strikes. Houthi attacks forced Riyadh's main airport to close for a time, and the disruption is hurting Saudi business travel.

Sources: Bloomberg, Bloomberg

Israel: election deadlock, Hebron pullout reported

Handelsblatt reports that no bloc reached 61 of 120 seats. Likud won 27 and Eisenkot's new party 21. Consultations with President Herzog start on 4 November. The same report says the army has reportedly left Hebron, though the army has not confirmed it.

Indo-Pacific

Record North Korean crypto hack hits Binance

The FBI blames North Korea's TraderTraitor group for stealing more than $6.3 billion from Binance, the largest cyber theft on record. Binance has pledged to cover 90% of losses. Net outflows reached $4.7 billion by Monday morning, a Binance spokesperson said.

Why it matters: Stolen crypto helps fund Pyongyang's weapons programmes. The FBI urged the industry to block the related transactions.

Sources: The Record, Bloomberg, BBC

Japan weighs a $500 billion defence plan

Japan Times, citing sources, says Prime Minister Sanae Takaichi's government is considering about $500 billion of defence spending over the five years from April 2027. That is nearly double the current five-year plan. It is not yet adopted. Tokyo's row with Beijing over Taiwan, which began in November 2025, continues in the background.

Source: Japan Times

Energy shock reshapes Asia

- **Japan:** Japanese firms have struck about $21 billion of deals for US Gulf Coast gas, the FT reports.
- **Bangladesh:** Its reliance on Qatari LNG is hurting textile makers.
- **India:** Bonds posted their biggest gain in six months as oil fell. Reliance shares jumped almost 12% on a profit beat, a record $19 billion one-day gain for an Indian company.
- **Australia:** The central bank is expected to raise rates for a fifth time this year on Tuesday. Its navy also revealed payloads for its Ghost Shark underwater drones.

Watch: The Reserve Bank of Australia decision on Tuesday.

Sources: FT, Bloomberg, Bloomberg

BRICS+ & Global South

There was no bloc-level BRICS news in the last 24 hours. The Iran war is the main pressure on members, and India holds the 2026 chair.

Energy shock splits winners from losers

BRICS members sit on both sides of the Hormuz crisis. Iran, the UAE and Saudi Arabia are belligerents or targets. Oman, a non-member, is the main mediator, and Xi courted its sultan in Beijing. India, the importer, saw bonds rally as crude fell. Reliance's record share jump showed investors' appetite for Indian assets. South Africa's factory sentiment stayed downbeat for a fifth straight month, with input-price pressures rising, according to Bloomberg Economics. Lower-income importers such as Bangladesh are struggling to pay for Qatari LNG.

Why it matters: High energy prices tend to drain foreign-currency reserves in importing Global South countries. That strengthens the case for dollar alternatives, but this week's data show no concrete de-dollarisation step.

Watch: Whether the Hormuz reopening happens, since that would ease pressure on importers.

Sources: Bloomberg, Bloomberg

Africa

Uganda starts leaving Somalia after 20 years

Uganda began withdrawing its troops from Somalia. It was the first country to send troops to the African Union mission set up in 2007 to stabilise the country. The departure leaves a gap against al-Shabaab, an al-Qaeda-linked militant group.

Why it matters: Mission funding and troop numbers have been shrinking, and Somalia's government must hold ground with less outside help.

Source: BBC

Investment and economy

Britain's development finance institution, BII, plans to deploy about £2.25 billion ($3 billion) over five years in some of Africa's riskiest markets. That is capital big institutional investors generally avoid. In South Africa, five people were arrested after farmer Donovan

Marx, 50, was shot and tortured. The case revives the false "white genocide" narrative, which BBC notes is widely discredited.

Sources: Bloomberg, BBC

Background on Sudan

No major Sudan or Congo development reached the feed in this window. Sudan's paramilitary RSF took El Fasher, the army's last Darfur stronghold, in October 2025 after an 18-month siege. Sudan's war remains unresolved.

Latin America

Chile's Kast hits record-low approval

President José Antonio Kast's approval fell to a record low eight months into his term, according to Bloomberg. Anger over the early release of convicted child sex offenders added to frustration with a stagnant economy. Chile's economic activity rose for the first month since June, but severe weather and weak mining output cloud the outlook. Investors are shifting into inflation-linked bonds as oil prices raise inflation expectations.

Why it matters: Chile is the top copper producer and a key lithium supplier. Weak mining output affects global metal supply.

Sources: Bloomberg, Bloomberg, Bloomberg

Venezuela: patience for Machado

A Japan Times commentary argues that opposition leader María Corina Machado should avoid rushing the transition. Background: Nicolás Maduro was seized in a US operation in January, and Delcy Rodríguez is acting president. Machado has called for a transition without "revenge".

Source: Japan Times

Brazil and Italy-linked news

Search results indicate Lula won the 25 October runoff against Flávio Bolsonaro and takes office on 5 January 2027. I could not verify the margin. Separately, Il Sole 24 Ore reports that the two Italian victims of the 28 October train crash near Toledo, Spain, have been identified. One was an Italian-Argentine citizen.

Source: Il Sole 24 Ore

IV Security, Technology & Space

Defence & Security

Russia's war on Ukraine is now spilling into daily life in NATO's east, while the US-Israel war with Iran keeps Gulf security and oil prices unsettled.

Ukraine hits a Russian pumping station as the gas-transit question reopens

Russia's Samara governor reported a Ukrainian drone attack. NASA satellite data showed a heat anomaly consistent with a fire at the Samara pumping station, about 860 km south-east of Moscow. The station has more than 1.6 million cubic metres of storage and handles crude from Western Siberia and Kazakhstan. Ukraine had resumed strikes on Russian oil sites late last week after a pause of nearly two weeks. Kyiv also said it hit the Kombinat Kamenski rocket-fuel plant in Rostov region on 31 October. Russian drones cut power to about 280,000 households in the Kyiv and Dnipropetrovsk regions the same day.

Separately, the Wall Street Journal reports that Washington wants Russian gas to flow to Europe through Ukrainian pipelines again before winter, as part of talks to halt attacks on energy sites. Kremlin spokesman Dmitry Peskov said this is "not possible" under current conditions. He also said he expects no change in Trump's push for a negotiated peace after the US midterms. Zelensky said he is ready to meet Putin in Turkey, and trilateral US-Ukraine-Russia talks are expected in early November.

Why it matters: A US-mediated six-day local ceasefire at Oleschky ended at midnight on 1 November. Trump said nearly 800 people were evacuated. Kyiv says Moscow used the pause to rotate troops.

For Europe & Italy: Any return of Russian gas through Ukraine would be politically fraught after the EU's phase-out drive. Italy is also exposed to gas prices.

Watch: The date and venue of the trilateral talks, and further strikes on energy sites.

Sources: Handelsblatt

Russia strains to pay its army; Poland's border region lives under sirens

Bloomberg reports that Russia's Defence Ministry plans to move December salaries into January for the first time, as the government braces for a wider year-end budget deficit. The FT reports that Poles in the east of the country now hear warning sirens and get text alerts about Russian air incursions.

Sources: Bloomberg, FT

Iran diplomacy and Gulf nerves

A report that Trump wants to give diplomacy with Iran more time pushed Brent down more than 3% to below $110 a barrel. In Beijing, Xi Jinping hosted Oman's sultan and offered help in seeking safe passage through the Strait of Hormuz. Ryanair warned that fuel costs could rise by €2bn in 2028 unless the war ends.

Sources: Bloomberg, Bloomberg, BBC

Budgets and industry

Japan is weighing about $500bn of defence spending for the five years from April 2027, nearly twice the current plan, sources told the Japan Times. Australia has shown payloads for its Ghost Shark extra-large uncrewed

submarines. The FT reports the UK is courting EU defence ties to counter the "Made in Europe" tilt in weapons procurement.

Sources: Japan Times, Defense News, FT

Cyber & Information Warfare

Record Binance theft attributed to North Korea

The FBI and US Secret Service blamed North Korea's TraderTraitor group for the theft of more than $6.3bn from Binance last week. It would be the largest cyber theft ever. The FBI says the hackers are mostly converting the loot into Ethereum and expects them to launder it through decentralised-finance and instant-swap services. It published wallet addresses and urged crypto firms to block them. Blockchain experts estimate about $3bn is frozen. Binance said it will cover 90% of user losses and reopened deposits and withdrawals on Sunday. Net outflows reached $4.7bn by Monday morning, according to a Binance spokesperson.

Why it matters: Pyongyang uses crypto theft to fund its weapons programmes and evade sanctions.

For Europe & Italy: Binance is widely used by European retail investors, and EU regulators will watch its reserves.

Sources: The Record, Bloomberg, BBC

Supermarket freezers hit again across Europe

Retailers in Belgium, Ireland, Sweden and Finland, plus Luxembourg per Politico, reported freezer and fridge temperatures spiking on Monday. The BBC puts the rise at up to 50C in six countries, and the FT reports up to 55C. Similar attacks hit French supermarkets in October. No attribution has been made in the reports reviewed.

Sources: Bloomberg, BBC, Politico

Alert apps hacked in Ukraine and Russia

Ukraine's Air Alert app pushed false warnings on 1 November, including one about radiation in Kyiv. Russia's Emergencies Ministry reported a "massive" attack on its own app. Both countries say their main warning systems still work.

Sources: Bloomberg, Handelsblatt

Fact Check

No dedicated debunk from Reuters, AFP, BBC Verify or Pagella Politica on these stories was available at the time of writing. Two claims from the past day are addressed below using primary reporting.

The claim: "There is radiation in Kyiv" and chemical attacks (alerts on Ukraine's Air Alert app, 1 November)

Verdict: False

What is actually true: The Ukrainian Air Force said the alerts were false and that the app may have been compromised by the enemy. It told users not to click links in it. No radiological emergency was reported.

Why it matters: Fake nuclear or chemical alerts aim to cause panic. Russia's Emergencies Ministry reported a similar attack on its own app.

Sources: Handelsblatt

The claim: a hacker group called "Hitcore" is behind the Ukrainian app hack

Verdict: Unproven

What is actually true: The claim appeared on a Telegram channel linked to Russian security services, and it could not be independently verified. Ukrainian authorities have said only that the app may have been compromised.

Why it matters: Hacktivist-style claims can be cover for state operations or can inflate a group's reputation. Treat the attribution with caution.

Sources: Handelsblatt

Technology & AI

Marvell to buy Lumentum for $115bn in AI optics deal

Marvell Technology agreed to buy Lumentum Holdings at an enterprise value of $115bn, in an all-stock deal. Bloomberg calls it one of the biggest tech tie-ups ever. The companies pitch it as creating a "leader in AI connectivity". Lumentum makes optical components that move data inside AI data centres. Marvell designs custom chips and networking silicon for cloud providers.

Why it matters: As AI clusters grow, the bottleneck is shifting from the processors themselves to the optical links between them.

The deal is a bet that connectivity will capture a large share of AI spending. It will face antitrust review, and its approval will show how regulators treat AI supply-chain consolidation.

Market impact: Marvell and Lumentum shares and the wider optical and networking group are directly affected. Investor reaction to a deal of this size and its all-stock structure will be an early test of appetite for AI-linked mergers.

Watch: Regulatory filings, shareholder votes and any review in China, a key market for chipmakers.

Sources: Bloomberg, FT

Investors weigh the cost of the AI build-out

Apple regained the title of world's most valuable company on Friday from Nvidia, as investors sought the perceived safety of the iPhone maker amid concerns about AI spending. Apple reports results this week. Alphabet is selling euro bonds for the second time this year, with considerably higher yields than in May, after worries over AI spending triggered a credit-market selloff.

Market impact: Higher yields on a top-rated issuer like Alphabet suggest investors now demand more compensation to fund AI capital spending.

Sources: Bloomberg, Bloomberg

Pentagon dependence on Big Tech, and Hong Kong chip listings

On War on the Rocks, Sharon Weinberger discusses her book on Big Tech and war. She covers the Pentagon's disputes with SpaceX and Anthropic and the rise of "neo-primes", new tech contractors that rival traditional defence primes. Separately, Bloomberg reports that Hong Kong chip IPO hopefuls are revealing cross-investments and personal ties among investors. Regulators are stepping up scrutiny of such structures.

Sources: War on the Rocks, Bloomberg

Ryanair-Starlink row

Ryanair's CEO ruled out a reconciliation with Elon Musk in their dispute over Starlink, Bloomberg reports. Details were not available in the feed.

Sources: Bloomberg

Space

Canada's Starlink rival depends on Musk's rockets

Canada is backing Telesat, which hopes to challenge Starlink with its own satellite constellation, the FT reports. The company faces a debt battle of about $2bn, and it needs SpaceX rockets to launch its satellites.

Why it matters: Sovereign satellite capacity is a priority for governments, yet Western operators still rely heavily on SpaceX launches. Europe faces the same dilemma with its IRIS² constellation.

Sources: FT

Italy pushes space diplomacy and a new private astronaut mission

At the third Stati Generali della Space Economy, held at the Farnesina (Italy's foreign ministry), Foreign Minister Antonio Tajani said Italy wants a leading role in Axiom 5. That is a private mission to the International Space Station, assigned by NASA to Axiom Space and planned from January 2027. Tajani said Italy will propose an Italian commander. He said the Italian aerospace supply chain generates more than €21bn in turnover. Industry Minister Adolfo Urso

said space must not become a "no man's land" without rules. He noted that Italy holds the UN space committee (COPUOS) presidency for 2026-2027 and is following EU Space Act negotiations. Confindustria's Marsiaj said a business mission on space goes to the US in December.

Why it matters: The sector figures in the reporting differ widely depending on definitions. Narrower estimates cited by Il Sole 24 Ore are far below €21bn.

Watch: The decision on the Axiom 5 crew and the Italian role.

Sources: Il Sole 24 Ore, ANSA

V Economy, Markets & Energy

Global Economy & Central Banks

Central banks are leaning towards tightening. An energy shock tied to the US-Israeli war with Iran and the closure of the Strait of Hormuz is lifting inflation and weighing on growth.

ECB signals a December hike while telling France to fix its own finances

The European Central Bank (ECB) held rates on 29 October. Reports put the deposit rate at 2.50%. The ECB said the energy shock's size and duration will push inflation up and growth down. Today Governing Council member Peter Kazimir said markets may be underestimating the tightening needed. Reuters-style reporting says two hikes are fully priced by April 2027. Lagarde is due to leave on 7 February 2027, according to the same reports.

Separately, Gabriel Makhlouf ruled out ECB intervention to support French debt. He said French politicians must "get on and fix" their public finances.

Why it matters: The ECB is raising rates into a supply shock, which is a hard call because higher rates slow an economy that is already weakening.

For Europe & Italy: The BTP-Bund spread (Italy's extra yield over Germany) was about 116 basis points today. That is calm, but higher rates raise the cost of servicing Italian debt. Confesercenti-Ipsos found that over 9 in 10 Italians are cutting spending, putting about €1.4bn of consumption at risk this quarter.

Watch: Euro-area October flash inflation on 4 November, and the 17 December ECB meeting.

Sources: Bloomberg, Bloomberg, FXStreet, ANSA

Fed on hold with hawkish dissent; Bank of England and US jobs data are next

The Fed held its target range at 3.75%-4.00% on 28 October. Secondary sources report a 10-2 vote, with the two dissenters wanting a hike. Markets are pricing a possible December hike, and the 2-year Treasury yield is 4.57%, above the policy range. The Bank of England is widely expected to raise rates by 0.25 points on Thursday 5 November. The Reserve Bank of Australia and Sweden's Riksbank are also

expected to hike. The US October jobs report is due Friday 6 November, after September payrolls rose only 29,000.

Watch: US midterm elections on 3 November, then payrolls on 6 November. The next Fed meeting is 9 December.

Sources: Admirals, FXStreet

Markets & Finance

Facts: Wall Street closed sharply lower on Friday, with the S&P 500 down 1.82% to 7,580 and the Nasdaq 100 down 3.46%. Reports link the fall to worries over AI spending after Amazon and Intel results. European indices were mixed to firm today, and Milan was up about 0.5% by midday. The FTSE MIB closed Friday at 49,539. Brent fell to about $109 and Dutch TTF gas (the European gas benchmark) to about €99 per megawatt-hour.

Tech reset and a flight to Apple

Apple took back the title of world's most valuable company from Nvidia on Friday, as investors sought perceived safety. Oracle began a $10bn investment-grade bond sale today,

after saying it would raise $20bn more over several years. That shows how AI buildouts are increasingly debt-funded.

Crypto: Binance theft

The FBI blames North Korea's TraderTraitor group for a $6.3bn theft from Binance. Traders have pulled about $4.7bn (Bloomberg) to $5bn (FT) from the exchange, which has restarted services and pledged to reimburse users. Bitcoin is at $77,644, down 4.5% on the week.

Company moves

- Alstom fell 28% after a second profit warning. It plans to cut €2bn of debt.
- Ryanair's half-year profit fell 15% to €2.15bn, with fares down 4%.
- Reliance Industries jumped almost 12%, a record daily gain for an Indian company.
- India's Nifty rose 1.68%, and Indian bonds had their best day in six months as oil fell.

Expectations, not facts: Markets are pricing hikes from the ECB and the Bank of England. Gold is at $3,911 an ounce and the VIX is 19.4.

Unverified: Brazil's Bovespa is down 18% on the week and USD/BRL is up about 9.6%. I could not confirm the cause today.

Watch: US Treasury issuance guidance this week, and Apple's results.

Sources: Bloomberg, FT, The Record, Bloomberg, ANSA

Trade, Tariffs & Sanctions

There is no major new tariff or sanctions package in the feed today. The main items are structural.

China's chemical export surge opens a possible new trade front

The FT reports that China's output of some key chemical ingredients has almost doubled in five years. That puts pressure on foreign rivals and could trigger protective measures, much as steel and electric vehicles did. European chemical makers, already squeezed by high gas costs, are the most exposed.

For Europe & Italy: Italy's chemicals and manufacturing base would face cheaper Chinese imports. A European trade-defence response (anti-dumping duties) would be the likely route.

Sources: FT

Background: US tariffs after the Supreme Court

The US Supreme Court struck down most of Trump's tariffs imposed under emergency powers (IEEPA). On 20 February, Reuters reported that he replaced them with a new 10% global levy and has other legal tools available. I found no new ruling today.

> **Background — why it matters for refunds:** Importers could be owed large refunds on tariffs that were struck down, and Washington has other legal tools to reimpose duties.

Russia's budget strain

Bloomberg reports that Russia's Defense Ministry plans to shift December salaries into January for the first time, as the government braces for a wider deficit. This is a sign of the strain that sanctions and war spending put on Moscow. Bloomberg Economics also says Ukraine's dependence on foreign aid is growing as Russian air strikes damage its economy.

Watch: Any US or EU moves on Russian energy sanctions, and Chinese responses on trade.

Sources: Reuters (via Screenocean), Bloomberg, Bloomberg

Energy & Critical Minerals

Oil and gas fall on hopes of an Iran deal, but the shock persists

Brent fell more than 3% to below $110 a barrel after Axios reported that Trump told Israeli Prime Minister Netanyahu he wants to give diplomacy with Iran more time. Secretary of State Rubio said Trump "prefers to solve it diplomatically" and has not decided on resuming strikes. Tehran's foreign ministry said it could reopen the Strait of Hormuz within two days if Washington accepts its demands. That is a claim by one side, and the closure continues. Iranian and Qatari officials held a third day of talks.

Settlement prices show Brent at $108.88 and WTI at $99.71. Dutch TTF gas fell below €100 per megawatt-hour, to about €99.

Goldman Sachs raised its December Brent forecast to $105 and flagged a $140 risk case. Some analysts warn of $120 after the US midterms if talks fail.

Why it matters: About a fifth of the world's oil and a large share of LNG normally pass through Hormuz. Prices at these levels are what is driving central banks towards tightening.

For Europe & Italy: Gas near €100 is a heavy burden on Italian industry and power bills. Germany's coalition is debating a fuel-price cap.

Market impact: Lower crude helped Indian bonds, which had their best day in six months. Airlines such as Air France and Ryanair were in focus in Europe.

LNG buyers scramble

Japanese groups have struck about $21bn of deals to secure gas, targeting US Gulf Coast shale resources. Meanwhile Bangladesh, reliant on Qatari LNG, is at "breaking point" and risks losing textile orders.

Metals

Copper is $6.51 per pound, up 0.86%. Silver is $50.15, up 2.1% on the day but down 7.3% on the week. Prysmian, a cable maker, was weaker in Milan. No critical-minerals news in the feed today.

Watch: Hormuz talks, US midterms on 3 November, and OPEC+ signals.

Sources: Invezz, ANSA, FT, Bloomberg

VI Outlook

Market Implications

Asset or sector	Likely pressure	Driver	Already priced in?
Italian banks	Mixed	Higher rates help margins. Weak consumers and a slowdown add credit risk.	Partly
Defence	Up	Japan's possible $500bn plan, European rearmament, Russia strikes	Largely
Energy and oil majors	Mixed	Brent fell below $110 on diplomacy. Hormuz outcome unclear.	Partly
Autos and luxury	Down	China demand and a slowing consumer	Partly
Utilities	Mixed	Gas under €100 helps costs. Higher rates weigh on valuations.	Partly
BTP-Bund spread	Mixed (calm)	About 116bp. Budget deficit path and French finances are the tests.	Mostly

Asset or sector	Likely pressure	Driver	Already priced in?
Rates (Bund, BTP)	Up in yields	ECB, BoE and possible Fed hikes	Partly. December ECB hike seen as likely.
EUR/USD	Mixed	ECB hawkishness against a firm dollar and Fed hike talk	Partly
Gold	Mixed	$3,911. Real yields against safe-haven demand.	Unclear
Tech/AI	Down, volatile	AI spending worries, debt funding, Apple results this week	Partly. Nasdaq 100 fell 3.46% Friday.
Emerging markets	Mixed	India gains from cheaper oil. Importers such as Bangladesh are strained.	Partly

The main theme is the energy shock against central banks. Markets have already moved on diplomacy headlines. Brent and TTF fell, and Indian bonds had their best day in six months. Rate-hike expectations are largely in prices.

What could happen next is more binary. A confirmed Hormuz reopening could pull oil and yields lower. Failed talks or US strikes after the midterms could revive the $120 and $140

scenarios some analysts cite. Treasury issuance guidance could also move global yields.

The midterms are a second driver. FT notes the S&P 500 has risen in the six months after every midterm since 1950, but that is history, not a forecast.

Market Opportunities & Risks

Educational overview, not advice. Every opportunity below comes with a risk.

Energy and the Iran headline trade

- **Driver:** Brent near $109 on the Hormuz closure.
- **Exposed:** Oil and gas producers, energy ETFs, tankers, LNG sellers. Airlines and chemicals sit on the other side.
- **Risk:** A deal could drop prices sharply, while failure could spike them. Prices move on headlines.
- **Horizon:** Short term. Much of the risk premium may already be priced in.

Rate hikes, bonds and BTPs

- **Driver:** The ECB, Bank of England and possibly the Fed are tightening.

- **Exposed:** Government bonds (the 10-year Treasury yields 4.93%), BTPs and bond ETFs.
- **Opportunity:** Higher starting yields.
- **Risk:** Rising rates push existing bond prices down, and inflation can erode real returns. The BTP spread at about 116 basis points is calm but could widen if French finances worsen.
- **Horizon:** Medium term.

AI infrastructure after the shake-out

- **Driver:** The Nasdaq 100 fell 3.46% on Friday on worries about AI spending.
- **Exposed:** Semiconductor and cloud companies, utilities and cable makers. Oracle is funding its buildout with debt.
- **Risk:** Spending doubts and heavy borrowing.
- **Horizon:** Long term, but valuations are still demanding. This is crowded.

Italian banks and cyclicals

- **Driver:** Higher rates support lending margins. UniCredit and Banco BPM were mixed today.
- **Risk:** An energy-driven slowdown and weak consumers raise credit risk.
- **Horizon:** Medium term.

Crypto

Bitcoin is $77,644. The Binance theft shows the operational risk of holding assets on exchanges.

Investing basics: duration

Duration measures how sensitive a bond's price is to interest rates. A bond with a duration of 7 years falls roughly 7% if yields rise by one percentage point, and rises about 7% if they fall. When central banks are hiking, long-duration bonds are the most vulnerable. Short-duration ones lose less, but they also offer less protection if rates fall.

Scenarios

Hormuz and the Iran talks

- **Base case:** Talks drag on with partial easing and sporadic ship attacks. Brent stays roughly $100-115. This is the most likely outcome.
- **Upside:** Iran reopens the Strait and verified traffic resumes. Oil and gas fall further, and rate-hike pressure eases. This is possible but not yet likely.
- **Downside:** Talks fail and the US strikes after the midterms. Iran retaliates against Gulf

states, and Brent heads towards $120 or higher. This is a real risk.

- **Signposts:** Tanker transits, Doha talks, statements from Rubio and Trump after 3 November.

US midterms and the aftermath

- **Base case:** Democrats gain at least the House, as polls suggest. Results are contested in some places. This is likely.
- **Upside:** A clear result is accepted quickly and legal fights stay small.
- **Downside:** A wave of DOJ and party lawsuits stretches out the count. Trump then makes defiant moves on NATO and troops in Europe, which is unlikely but is a stated concern.
- **Signposts:** Alaska and California cases, appeals, Trump's reaction overnight on 3-4 November.

ECB and Italy's budget

- **Base case:** The ECB signals a December hike. Brussels grants Italy some room and the spread stays near 110-125bp. This is likely.
- **Upside:** Energy prices ease, inflation cools and the hike is shelved.

- **Downside:** Inflation climbs and French stress spills over. The spread widens and Brussels pushes back on Rome's margin.
- **Signposts:** The 4 November flash inflation, the Commission's comments on the €29bn deviation, French protests and OAT yields.

What to Watch

Date	Event	Why it matters
Tue 3 Nov	US midterm elections	They decide control of Congress and set the tone for Trump's last two years.
Tue 3 Nov	RBA decision (fifth hike of 2026 expected)	It tests how far energy-driven inflation is pushing central banks.
Tue 3 Nov	Budget bill expected in the Chamber of Deputies	The parliamentary passage of Italy's 2027 budget begins.
Wed 4 Nov	Euro-area October flash inflation	It shapes the December ECB decision. September was 3.8%.
Wed 4 Nov	Israeli President Herzog begins consultations	Election deadlock: no bloc reached 61 of 120 seats.
This week	US Treasury refunding guidance	It could change issuance and move yields.

Date	Event	Why it matters
Thu 5 Nov	Bank of England decision (+0.25 expected)	Bank Rate is 3.75%, and a hike would confirm the tightening wave.
Fri 6 Nov	US October jobs report	September payrolls rose only 29,000.
6-10 Nov	Expected Abu Dhabi talks, US-Ukraine-Russia	Any energy-strike truce or gas deal would matter for Europe.
About 9 Nov	Budget hearings start in the Chamber	They show how much room Giorgetti has.

Explained

Deficit deviation (the €29bn margin)

EU fiscal rules set a path for how fast a country's spending can grow. Italy asks to leave that path for a limited time, for energy and defence. Parliament voted 219 to 110 to ask for €29bn of extra room over 2027-28. The Commission and the Council must then accept it. Think of a speed limit with a temporary exemption that needs the traffic police's approval. The budget's tax cuts partly depend on it. Remember €29bn.

The BTP-Bund spread

It is the gap between the yield on Italy's 10-year bond and Germany's. Investors demand more yield when they see more risk. Both yields move with the ECB, so the gap isolates Italy-specific worry. It is like the extra interest a bank charges a riskier borrower. At about 116 basis points, it signals calm despite the budget. Remember 116 (one basis point is 0.01 percentage points).

Why oil shocks push central banks to hike

Rate hikes cool demand, but they cannot make more oil. Central banks hike when higher energy costs spread into wages and prices, risking lasting inflation. It is like putting a lid on a pot that a stove is overheating, which also slows the cooking. The ECB held at 2.50% on 29 October, after a September hike, and signals more may come. Brent near $109 is the key price.

How crypto laundering works

Hackers who steal crypto move it through many wallets, swap services and decentralised-finance platforms to break the trail. The FBI published wallet addresses so firms can block them. It is like a thief changing banknotes into small coins across many shops. Blockchain

analysts estimate about $3bn of the $6.3bn is frozen. Remember 90%, Binance's pledged cover.

Glossary

- **Basis point:** One hundredth of a percentage point.
- **BTP:** Italian government bond.
- **TTF:** Dutch gas benchmark, quoted in euros per MWh.
- **Hormuz:** Strait carrying about a fifth of the world's oil, plus much LNG.
- **LNG:** Liquefied natural gas shipped by sea.
- **Governing Council:** The ECB's top decision body.
- **Deposit rate:** The ECB's main policy rate, currently 2.50%.
- **PNRR:** Italy's EU-funded recovery plan.
- **TFS:** Public employees' severance pay.
- **TraderTraitor:** North Korean hacking group blamed for the Binance theft.
- **Flash estimate:** A first, early inflation reading, later revised.
- **Midterms:** US elections halfway through a presidential term.

Compiled automatically from reputable news, official and research sources with AI-assisted research and writing. Verify critical facts with the linked sources before acting on them. Not investment advice.